

Instructor: Date:

Learner: Regional Branch:

Program: Center:

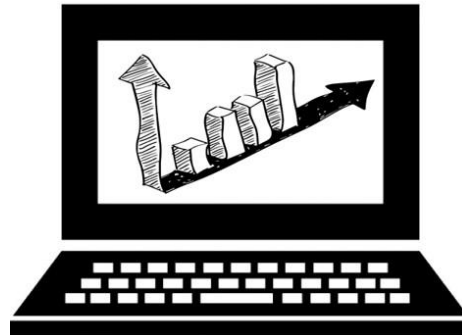
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Let's Start!

Should software prices be steady?



Learning Outcome:

Understand information about people's backgrounds in spoken or written documents.

Participate in the improvement of IT contracts, establishing technical clauses that respond to the needs of the negotiating agents, based on current laws on contracting.

Can Do Statements:

- I can talk about risks of changing rates periodically.
- I can talk about the importance of seeking certainty in prices.
- I can interact with a colleague about fees and payments to be done in IT procurement.

Ask your partner:

- What aspects do you think have an influence on the price of software?
- How often do you think software prices should be altered?





Let's Explore!

Two business partners are discussing how to establish prices in their new software business.



Instructions: Read the text below.

- Pete:** Now, one of the last things we need to decide before signing the contract is to establish the supplier's prices and fees for the IT procurement.
- Susan:** That's right. If we intend to start this software business the best way possible, we cannot take any risk. Conditions must be set clear to reduce the possibility of having fees changed. Sometimes, supplier contracts often make reference to the supplier's "then current rate" or allow the supplier to change their rates regularly, which give them the power to vary prices at will.
- Pete:** You're right. It is important for us, as customers, to find certainty in terms of price. What has been economically agreed has to be clearly expressed, so rates will not change unexpectedly causing us trouble.
- Susan:** That's right. But can you tell me about the prices we're going to offer our clients? Apart from desktop software, operating systems, we're going to offer computer hardware and peripherals, right? Can you tell me if we plan to change the rates periodically?
- Pete:** Since price drives behavior, I think we're going to have to find some good commercial advice so we can come up with a good fee model. We also need to be careful that the limited exceptions contemplated by the fee schedule don't become the norm.
- Susan:** What do you mean?
- Pete:** Well, not everything can become a value-added consulting service which is required on a time basis.
- Susan:** What about taxes? I wonder if they are always included in IT procurement.
- Pete:** Of course, all taxes other than GST, or Good and Services Tax, have to be included in the fee.
- Susan:** Wow! I think I was underestimating all these prices and fees thing.





Let's Practice!

Pete and Susan are getting definitions clear.

Instructions: Match column A with column B.

COLUMN A

1. All rates have to be agreed
2. The prices have to be established
3. The value-added fee must not be used
4. Changing prices must not be
5. Certain rules about prices have to be

COLUMN A

- a. before signing the contract.
- b. allowed in your contract.
- c. followed by your commercial team.
- d. on from the beginning to avoid risks.
- e. to justify every change in price.



Let's Practice!

Susan is making a list of questions for Pete.

Instructions: Circle the correct word to complete each sentence.

1. Could you tell me if you (intends / intended / intending) to call the commercial team?
2. Can you remember what prices we (agreed / agrees / agreeing) on with the contractor?
3. I'd like to know if we have (has / have / had) price changes in the last semester.
4. Do you know if the company (check / checked / checking) the "add value" fee exceptions?
5. Can you tell me if you (made / making / done) a list of all the taxes that are included in the GST?



Extension Activity

The Perfect IT Procurement of a Contract

Instructions: Complete the following steps. Fill in the Self-Assessment.

- Look for information about IT procurement for contracts.
- Describe the most important tips to be taken into account when making a supplies contract.
- Make a poster explaining your tips.
- Present the poster to your partners.

Self-Assessment

Yes No

- | | | |
|---|-----------------------|-----------------------|
| 1. I research for information about IT procurement for contracts. | ☐ | ☐ |
| 2. I describe the things to be taken into account when making an IT contract. | ☐ | ☐ |
| 3. I make a poster showing my ideas. | ☐ | ☐ |
| 4. I present the poster to my partners. | ☐ | ☐ |



Target Words

- **peripheral** (noun): device used to put in and extract information from a computer.
e.g. Apart from desktop software, operating systems, we're going to offer computer hardware and peripherals, right?
- **current rate** (noun): current price available for a good or service.
e.g. Sometimes, supplier contracts often make reference to the supplier's "then current rate" or allow the supplier to change their rates regularly, which give them the power to vary prices at will.
- **value-added** (adjective): gross income.
e.g. Well, not everything can become a 'value-added' consulting service which is required on a time basis.
- **at will** (expression): any time you want.
e.g. Sometimes, supplier contracts often make reference to the supplier's "then current rate" or allow the supplier to change their rates regularly, which give them the power to vary prices at will.
- **fee model** (noun): a framework for generating revenues.
e.g. Since price drives behavior, I think we're going to have to find some good commercial advice so we can come up with a good fee model.
- **GST** (abbreviation): stands for Goods and Services Tax; a tax levied when a consumer buys a good or service.
e.g. Of course, all taxes other than GST, or Good and Services Tax, have to be included in the fee.



Learning Points

Passive of Modal Verbs Must and Have to

When we don't know who the doer of an action is or it is not important, we use the **passive voice**; the importance is given to the object of the sentence.

We use the modals **must be** or **have to be** + a verb in **past participle** to talk about obligations. **Passive voice** is used when the focus is on the action and the object of the sentence. Let's take a look at the grammatical structure:

Object + **Must be** / **Have to be** + **Verb in Past Participle** + Complement

Examples:

*Rates **must be established** from the beginning.*

*Rates **have to be agreed** upon.*

Mentioning who does the action is optional. If you want to mention the doer, you need to use the preposition **by**. Let's see an example:

*Rates **have to be agreed** upon **by** the customer and the company.*

Examples

- *Conditions **must be** set clear to reduce the possibility of having fees changed.*
- *What **has been** economically agreed **has to be** clearly expressed, so rates will not change unexpectedly causing us trouble.*
- *Of course, all taxes other than GST, or Good and Services Tax, **have to be** included in the fee.*

Questions within Questions

Questions within questions or **embedded questions** are a way to ask questions in a very polite way.

Sometimes there is **a question** that is **embedded** or included within another question. This kind of structure is used to ask for further information or to ask for something indirectly. In this kind of questions, the first part of the questions is a direct question that usually starts with any of the following expressions:

Could you tell me...?

Do you know...?

Can you remember...?

The second part of this type of questions refers to the actual information we want to ask about. It starts with a **WH Question** when it is an open question or with **If** or **Whether** when the question has a Yes/No answer and it is followed by a regular affirmative sentence.

Example:

***Could you tell me** what the price of the software is?*

***Do you know** if that software is expensive?*

Examples

- *But, can you tell me about the prices we're going to offer our clients?*
- *Can you tell me if we plan to change the rates periodically?*

